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CASE #	CASE NAME	HEARING NAME
CVME2403285	DEUTSCHE BANK NATIONAL TRUST VS BLYTHE	MOTION ON CLAIM OF EXEMPTION

Tentative Ruling: Claim of Exemption is Denied. This is a judicial foreclosure action. On November 1, 2004,, Defendant Barry Blythe, Trustee of the Blythe Family Trust dated January 1, 2004 (“Defendant”) obtained a loan in the amount of \$800,000 from Washington Mutual Bank. The loan was secured by a Deed of Trust (DOT), which was recorded against the Subject Property on November 5, 2004. In October 2008, Defendant defaulted on the loan. The beneficial interest in the DOT was assigned to Plaintiff Deutsche Bank National Trust Company (“Plaintiff”).

On November 28, 2016, Plaintiff filed its Complaint for Judicial Foreclosure against Defendant and several individuals and entities with liens or other interests in the Subject Property. On August 8, 2018, judgment was entered in favor of Plaintiff. The order the sale of the Subject Property, the proceeds of which are to be used to pay the amount due and owing to Plaintiff. Defendant filed an appeal. On June 9, 2020, the Court of Appeal affirmed the judgment. The judgment was then amended on July 5, 2022. It appears that the sale has not yet occurred.

Defendant now seeks an emergency stay of the Sheriff’s sale, claiming that he is entitled to a homestead exemption under CCP § 704.740. Defendant claims that Plaintiff failed to comply with statutory requirements under CCP § 704.750. Defendant claims that he is entitled to the exemption because he is 79 years old and the Subject Property is his primary residence.

Plaintiff opposes the exemption. Plaintiff argues that pursuant to CCP § 703.010, the homestead exemption does not apply to a judgment of foreclosure.

Analysis - Pursuant to CCP §704.740, the interest of a natural person in a dwelling may not be sold to enforce a money judgment except pursuant to a court order for sale. The judgment creditor must file the application for an order of sale in the county where the dwelling is located. (CCP § 704.750.) CCP § 704.760 sets forth the requirements for the application and requires that “the judgment creditor’s application shall be made under oath.” “A homestead exemption does not preclude sale of the home but entitles the homesteader to receive the value of the exemption if the property is sold to satisfy a judgment lien.” (Wells Fargo Financial Leasing, Inc. v. D & M Cabinets (2009) 177 Cal. App. 4th 59, 68.)

Defendant asserts that he is 79 years old and the owner/occupier of the Subject Property, which is used as his primary dwelling and horse sanctuary. (Decl. of Blythe, ¶1.) Defendant claims that Plaintiff, as the judgment creditor, failed to file an Application for an Order for Sale of Dwelling with the Court within 20 days after the date of the levy, which was mid-January and provide a copy to the Sheriff in violation of CCP § 704.750(a). (Id at ¶¶ 3, 4.)

However, the homestead exemption under section 704.740 applies to an action to enforce a money judgment. (*California Coastal Com. v. Allen* (2008) 167 Cal. App. 4th

322, 328; *Spencer v. Lowery* (1991) 235 Cal. App. 3d 1636, 1638.) The present case involves a judgment of foreclosure. Section 703.010(b) provides that the homestead exemption does not apply if the judgment to be enforced is for the foreclosure of a mortgage or deed of trust. (Id at 1639.) Because the judgment in this case is for the foreclosure of a deed of trust, the homestead exemption does not apply and Plaintiff was not required to comply with the procedures set forth under section 704.750.